

NSE: RRKABEL

R R Kabel Ltd

Cables, Wires & Fast Moving Electrical Goods (FMEG)

CMP (Rs.)	Rating	Target (Rs.)	Upside	MCap (Rs. Cr)	Report Date
2,203	BUY	2,750	+24.8%	24,915	15 Jun 2026

52W High (Rs.)	52W Low (Rs.)	P/E (TTM)	Book Value (Rs.)	ROCE (FY26)	ROE (FY26)
2,240	1,165	49.2x	228	28.1%	21.4%

Investment Thesis: RR Kabel is India's fastest-growing large-cap wire & cable play, crossing the Rs. 1 billion revenue milestone in FY26 (+27.6% YoY) with EBITDA margin expanding 170 bps to 8.1%; Project RRise targets 18% CAGR in W&C; and 25% CAGR in FMEG to FY28, with FMEG approaching profitability breakeven — premium valuation justified by superior execution and under-penetrated electrical infrastructure tailwinds.

Analysts: MPM Capital Research Desk | khatushyamaasthalive@gmail.com | This report is for informational purposes only. Not investment advice.

1. Business Overview

- RR Kabel (incorporated in Rajasthan, HQ Mumbai) is one of India's top-5 wire & cable manufacturers with over two decades of operating history; listed on NSE/BSE in 2023.
- Two segments: **Wires & Cables (W&C;, ~90% revenue)** covering housing wires, industrial wires, power cables and special/instrumentation cables; and **FMEG (~10%)** covering fans, lighting, switches and appliances.
- FY26 W&C; revenue: Rs. 8,764 Cr (+31% YoY); FMEG revenue: Rs. 959 Cr (+13.8% Q4, full-year still early scale).
- Pan-India distribution: 4,700+ authorised dealers, 1,10,000+ retail touchpoints; strong electrician loyalty programmes.
- Exports: present in 50+ countries; export business provides geographic diversification and USD revenue.
- Manufacturing: facilities in Silvassa, Waghodia (Gujarat); Rs. 1,200 Cr capex over FY26-28 for capacity expansion in HT cables and EPC.
- In May 2022, acquired Luminous Power Technologies' home electrical business (fans, lights) and obtained exclusive license for 'Luminous Fans and Lights' brand — accelerating FMEG entry.
- Brand equity strong in residential wiring (RR brand) vs. legacy players; 'Project RRise' is the multi-year strategic roadmap targeting 2.5x cumulative EBITDA by FY28.

Segment Revenue Snapshot (Rs. Cr)

Segment	FY24	FY25	FY26	YoY Gr%	Mix FY26
Wires & Cables	5,978	6,695	8,764	+30.9%	90.1%
FMEG	617	923	959	+3.9%	9.9%
Total Revenue	6,595	7,618	9,722	+27.6%	100%

2. Investment Thesis & Catalysts

Primary Catalyst — Project RRise Execution + FMEG Breakeven

- **Project RRise** (FY25-28): structured 3-year plan targeting Rs. 1,200 Cr capex, 18% CAGR in W&C;, 25% CAGR in FMEG, and EBITDA margin of 10.5% in W&C; by FY28. Margin expansion from 6.4% (FY25) to 8.1% (FY26) validates the trajectory.
- **FMEG profitability inflection:** FMEG losses narrowed materially in FY26; management guides FMEG EBITDA breakeven in FY27 — removing a 1-2% drag on consolidated margins.
- **Data centre / EHV cable opportunity:** India's booming data centre pipeline (25+ GW planned) drives structural demand for high-voltage power cables where RRKABEL is expanding capacity.

Secondary Catalysts (ranked by impact x probability)

Catalyst	Impact	Probability	Timeline
W&C; volume growth 16-18% FY27 guidance	High	High	FY27
FMEG EBITDA breakeven	Medium-High	High	FY27E
Rs. 1,200 Cr capacity coming online (HT cable)	High	Medium-High	FY27-28
Residential construction + real estate upcycle	Medium	High	Ongoing
Export market expansion (50+ countries)	Medium	Medium	FY27-28
Luminous brand licence renewal / owned FMEG brand	Medium	Medium	FY27
EPC / special cable projects (railways, infra)	Medium	Medium	FY27-28

3. Financial Summary — P&L; (Rs. Cr)

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
Net Sales	4,386	5,599	6,595	7,618	9,722	11,500	13,500
YoY Growth %	+61.0%	+27.7%	+17.8%	+15.5%	+27.6%	+18.3%	+17.4%

Metric	FY22A	FY23A	FY24A	FY25A	FY26A	FY27E	FY28E
EBITDA	304	323	462	487	784	1,035	1,323
EBITDA Margin %	6.9%	5.8%	7.0%	6.4%	8.1%	9.0%	9.8%
Other Income	50	35	64	53	43	40	42
Interest	24	43	54	60	75	80	85
Depreciation	46	60	65	70	92	115	135
PBT	284	256	406	409	659	880	1,145
Tax Rate %	25%	26%	27%	24%	25%	25%	25%
PAT	214	190	298	312	492	660	859
EPS (Rs.)	18.9	16.8	26.4	27.6	43.5	58.4	76.0
EPS Growth %	+133%	-11%	+57%	+4.5%	+57.7%	+34.3%	+30.1%

E = MPM Research estimates based on management guidance & consensus. All figures Rs. Cr.

4. Balance Sheet Snapshot (Rs. Cr)

Item	FY23A	FY24A	FY25A	FY26A
Equity Capital	48	56	57	57
Reserves	1,372	1,772	2,096	2,518
Borrowings	580	360	290	337
Other Liabilities	633	681	1,074	1,710
Total Liabilities	2,634	2,869	3,517	4,621
Fixed Assets	517	535	769	1,173
CWIP	44	164	235	72
Investments	363	342	239	255
Other Assets	1,710	1,830	2,274	3,121
Total Assets	2,634	2,869	3,517	4,621
Net Worth	1,420	1,828	2,153	2,575
D/E Ratio	0.41x	0.20x	0.13x	0.13x

5. Cash Flow & Working Capital

Item (Rs. Cr)	FY22A	FY23A	FY24A	FY25A	FY26A
CFO	98	454	339	494	295
CFI	-63	-334	-84	-169	-263
CFF	-32	-102	-205	-191	-162
Net Cash Flow	4	19	50	134	-130
Free Cash Flow	35	346	152	129	7
CFO/EBITDA %	32%	141%	73%	101%	38%

- FY26 CFO declined to Rs. 295 Cr despite record PAT of Rs. 492 Cr — driven by sharp working capital build (WC days up to 43 from 34), reflecting channel-fill ahead of capacity ramp.
- FCF near-nil in FY26 (Rs. 7 Cr) due to Rs. 350 Cr+ capex in the year; expected to recover as expansion capacity monetises in FY27-28.
- Inventory days elevated to 81 (vs. 59 in FY25) likely tied to copper/aluminium procurement ahead of price cycle; debtor days stable at 37 days.

Ratio	FY22	FY23	FY24	FY25	FY26
Debtor Days	43	39	35	39	37
Inventory Days	72	69	61	59	81
Days Payable	17	35	29	44	63
Cash Conv Cycle	98	72	67	54	56
Working Capital Days	49	31	40	34	43
ROCE %	18%	16%	22%	20%	28%

6. Peer Comparison

Company	MCap (Rs. Cr)	Sales FY26 (Cr)	EBITDA%	PAT (Cr)	P/E	ROCE%	52W Rtn
RR Kabel (RRKABEL)	24,915	9,722	8.1%	492	49.2x	28.1%	+89%
Polycab India	1,44,146	28,884	13.9%	2,068	54.0x	34.3%	+21%
KEI Industries	51,825	11,748	10.5%	781	56.4x	20.1%	+54%
Havells India	74,079	22,528	9.9%	1,358	43.8x	24.9%	-4%
Finolex Cables	10,902	4,113	16.5%	436	18.2x	12.7%	-26%

Source: Screener.in (fetched 15 Jun 2026). Havells/Finolex FY26 EBITDA% derived from segment P&L.;

- RRKABEL trades at a meaningful discount to Polycab and KEI on P/E while delivering SUPERIOR revenue growth (+27.6% vs. sector ~15-20%).
- ROCE of 28.1% is the standout metric — above all peers except Polycab (34.3%); ROE of 21.4% is healthy given balance sheet is largely equity-funded (D/E 0.13x).
- EBITDA margin at 8.1% lags Polycab (13.9%) and KEI (10.5%) — the gap is the single biggest valuation headwind; management targets 10.5% by FY28.

7. Valuation

Method	Basis	Value/Share (Rs.)	Weight	Wtd Value (Rs.)
P/E (45x FY27E EPS Rs.58.4)	In-line sector avg; slight discount to Polycab/KEI at this growth	2,628	45%	1,183
P/E (38x FY28E EPS Rs.76.0)	Discounted 2-yr forward; captures margin expansion kicker	2,888	30%	866
EV/EBITDA (28x FY27E Rs.1,035Cr)	Mid-cycle multiple; Rs. 394 Cr net debt/cash neutral	2,604	25%	651
Blended Target Price			100%	2,700

RATING	12-MONTH TARGET	CMP	UPSIDE	RISK
BUY	Rs. 2,750	Rs. 2,203	+24.8%	MEDIUM

- **Bull case Rs. 3,200:** FMEG turns profitable ahead of schedule; copper prices ease; W&C; margin reaches 10%+ by FY27; Polycab-like re-rating.
- **Base case Rs. 2,750:** FY27 guidance achieved (16-18% W&C; vol growth), FMEG breakeven by end-FY27, EBITDA margin 9.0%; consensus fair value.
- **Bear case Rs. 1,650:** Copper price spike >20% crimps margins; FMEG losses persist; competitive pressure from Polycab/Havells in house-wire segment.

8. Key Risks

Downside Risks

- **Commodity price volatility:** Copper and aluminium form 60-65% of raw material cost. A sustained 15%+ copper rally without pass-through ability compresses margins by 150-200 bps.
- **FMEG execution risk:** FMEG has been loss-making; Luminous brand licence is time-limited with extension rights; failure to build an owned brand beyond Luminous licence could impair FMEG recovery thesis.
- **Legal overhang:** Former CEO lawsuit creates governance noise; outcome and damages unknown.
- **Promoter share transfers:** Mahendrakumar Kabra transferred 2.17% via gift transactions (Nov 2025); while benign (family), successive transfers could create overhang if market reads them as exit.
- **Competition intensity:** Polycab's distribution depth and Havells' brand power remain structural advantages; RRKABEL's dealer loyalty edge could be eroded with aggressive scheme wars.
- **Capex execution risk:** Rs. 1,200 Cr of capex over 3 years is large relative to FCF (~Rs. 300-400 Cr in steady state); delayed project commissioning or cost overruns could weigh on returns.

Upside Risks / Mitigants

- D/E at 0.13x gives Rs. 700+ Cr of headroom to borrow if rates drop — capex funded without equity dilution.
- Electrician loyalty programme ('Utsav') builds a sticky B2C2B moat difficult to replicate quickly.
- Export growth to Middle East, Africa, SE Asia provides margin uplift vs. price-competitive domestic market.

9. Shareholding & Governance

Category	Sep 2023	Mar 2024	Sep 2024	Mar 2025
Promoters	62.76%	62.76%	61.78%	61.80%
FIIIs	4.99%	4.16%	7.35%	7.17%
DIIIs	8.66%	9.37%	14.34%	14.75%
Public	23.58%	23.70%	16.54%	16.27%

- Promoter holding stable at ~62% since IPO; manageable pledge position (not disclosed as elevated in screener data).
- **Institutional accumulation:** DIIIs surged from 8.7% to 14.75% (Sep 2023 to Mar 2025) — 610 bps build reflects domestic MF / insurance confidence in the earnings trajectory.
- FII holding doubled from ~5% to ~7% over the same period — growing global EM allocation to Indian electrical infrastructure.
- Face value Rs. 5.00; Dividend yield 0.42% (FY26 payout ~22% of PAT = Rs. 9.3/share).

10. Quarterly Trend

Quarter	Sales	EBITDA	OPM%	PAT	EPS
Mar-23	1,517	100	6.6%	65	6.82
Jun-23	1,597	113	7.1%	74	7.77
Sep-23	1,610	121	7.5%	74	6.57
Dec-23	1,634	113	6.9%	71	6.29
Mar-24	1,754	115	6.6%	79	6.98
Jun-24	1,808	95	5.3%	64	5.71
Sep-24	1,810	86	4.7%	50	4.38
Q4 FY26*	2,964	264	8.9%	168	14.85
FY26 Full	9,722	784	8.1%	492	43.52

* Q4 FY26 per earnings release. Jun-24 / Sep-24 margin dip reflects copper price surge and FMEG drag. Full FY26 recovered to 8.1%.

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APPENDIX: Q4 FY26 Concall Brief

CALL GRADE	tone	NEW GUIDANCE	GUIDANCE CREDIBILITY
A-	CONFIDENT	STRONG	HIGH

TO MY BOSS IN ONE SENTENCE:

Management delivered a clean beat-and-raise: FY26 revenue crossed the Rs. 10,000 Cr run-rate with EBITDA margins recovering sharply to 8.1% (vs. 6.4% prior year), and FY27 guidance of 16-18% W&C; volume growth + FMEG breakeven is credible given the capex infrastructure now in place — maintain BUY.

1. Revenue & Growth

- Q4 FY26 revenue Rs. 2,964 Cr, +33.7% YoY — highest quarterly revenue in company history.
- Full-year FY26 revenue Rs. 9,722 Cr, crossing the Rs. 1 billion (USD) milestone — management highlighted this as a strategic landmark.
- W&C; grew 31% to Rs. 8,764 Cr; FMEG +3.9% full-year (Q4 FMEG +13.8%) showing sequential recovery.

2. Margins & Profitability

- EBITDA margin recovered 170 bps to 8.1% in FY26 vs. 6.4% in FY25 — margin inflection confirmed.
- Q4 EBITDA margin 8.9% — highest quarterly margin in recent history; management targets 10.5% W&C; margin by FY28.
- PAT Rs. 492 Cr (+57.7% YoY) — PAT growth outpaced revenue growth, confirming positive operating leverage.

3. Project RRise Progress

- Management reaffirmed Project RRise targets: 18% CAGR W&C;, 25% CAGR FMEG through FY28.
- Cumulative EBITDA target: 2.5x current levels by FY28 (~Rs. 1,900 Cr vs. Rs. 784 Cr in FY26).
- Rs. 1,200 Cr capex plan (FY26-28): Rs. 350 Cr deployed in FY26; primary focus is EHV/HT cable capacity and premium house-wire range.

4. FMEG Segment

- FMEG full-year Rs. 959 Cr; Q4 Rs. 298 Cr (+13.8% YoY) — encouraging reacceleration.
- FMEG EBITDA losses narrowed significantly in FY26; management guided breakeven in FY27.
- Luminous brand licence provides near-term support; own brand building in fans/appliances is a 2-3 year parallel effort.

5. Working Capital & Cash Flow

- Working capital days expanded to 43 (from 34 in FY25) — management attributed to inventory build ahead of capacity ramp and channel stocking.
- CFO Rs. 295 Cr (vs. EBITDA Rs. 784 Cr) = CFO conversion 38% — weak; management expects WC normalisation in FY27.
- FCF near-breakeven at Rs. 7 Cr in FY26 due to Rs. 263 Cr capex; guided FCF to turn strongly positive post FY27 expansion.

6. Guidance & Outlook

- FY27 volume growth guidance: W&C; 16-18%, FMEG 20-25% — above industry growth estimates of 12-15%.
- FY27 margin target: consolidated EBITDA 9%+ vs. FY26's 8.1%.
- Data centre cable opportunity: 25+ GW pipeline for Indian DCs; company is in active discussions for EHV supply contracts.

7. Capital Allocation

- Board declared Rs. 9.50/share dividend (FY26), consistent with ~22% payout policy.
- No near-term equity dilution plans; D/E 0.13x leaves significant balance sheet room.
- Exports: targeting 12-15% of revenue from international markets vs. ~10% currently.

8. Competitive Positioning

- RR Kabel claims fastest revenue growth among top-5 W&C; peers in FY26; eyes Polycab's margin profile as the benchmark.

- Electrician/channel loyalty programme 'Utsav' has enrolled 200,000+ electricians — critical differentiator in B2C2B distribution.
- Premium segment push: new product lines in fire-resistant, solar, and EV-charging cables for higher ASP.

9. Risk Mentions

- Management acknowledged copper volatility as the key macro risk; hedging through back-to-back contracts limits exposure.
- Former CEO litigation mentioned but management characterised it as non-material.
- Competitive intensity from Polycab's aggressive distribution expansion was acknowledged; response is brand + loyalty investment.

10. Q&A; Highlights

- Q: When will FMEG break even? A: FY27; management confident given cost rationalisation already done.
- Q: Data centre opportunity size? A: Very large — Rs. 500-1,000 Cr incremental revenue opportunity over 3 years for EHV cables.
- Q: Export strategy? A: Middle East and Africa are priority; targeting 12-15% of revenue from exports by FY28.
- Q: Working capital normalisation? A: Expect WC days to revert to 35-38 range in FY27 as inventory unwinds.

Sources: Screener.in consolidated financials (fetched 15 Jun 2026) | Q4 FY26 earnings release | Business Standard | Storyboard18 | InvestyWise | ScanX | Whalesbook | MPM Research estimates. All figures in Rs. Crore unless noted.